

24NWCV00181 24NWCV00181

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-08-18

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Case Number: 24NWCV00181 Hearing Date: August 18, 2026 Dept: P

SUSANA GALLARDO v. FORD

MOTOR COMPANY, ET AL.

CASE NO.: 24NWCV00181

HEARING: 08/18/2026 @ 10:30 AM

#9

TENTATIVE ORDER

I.

Defendants Ford Motor Company and Cerritos Ford, Inc. dba Norm Reeves Ford Lincoln/ Norm Reeves Ford Superstore's motion for summary adjudication is DENIED as to Issues Nos. 1 and 2.

II.

Defendants' motion for summary adjudication is GRANTED as to Issues Nos. 3 and 4.

Moving party to give notice.

Defendant Ford Motor Company (Ford) and Cerritos Ford, Inc. dba Norm Reeves Ford Lincoln/ Norm Reeves Ford Superstore (Reeves Ford) (collectively, Defendants) moves for summary adjudication as to the second and third causes of action.

Background

This is a lemon law action. On January 18, 2024, Plaintiff Susana Gallardo (Plaintiff) filed this action against Ford Motor Company, Cerritos Ford, Inc. dba Norm Reeves Ford Lincoln/Norm Reeves Ford Superstore, and Does 1 through 10, inclusive. On February 14, 2025, Plaintiff filed the operative FAC. The FAC alleges that Plaintiff and Ford entered into a written warranty contract regarding Plaintiff's vehicle (Subject Vehicle). (FAC, ¶ 9.) The FAC alleges the Subject Vehicle contains a defect regarding a ten-speed automatic transmission (10R80 Transmission Defect). (FAC, ¶ 16.) The FAC asserts three causes of action: (1) violation of Song-Beverly Act – breach of express warranty, (2) fraudulent inducement-concealment, and (3) negligent repair.

On December 9, 2025, the Court granted Plaintiff's ex parte application to continue the instant motion for summary adjudication from January 13, 2026, to March 24, 2026.

On March 24, 2026, the Court granted Plaintiff's request to continue the hearing on this motion pursuant to Code of Civil Procedure section 437c, subdivision (h). On June 11, 2026, the Court granted another continuance at Plaintiff's request pursuant to Code of Civil Procedure section 437c, subdivision (h) and continued the instant motion to today's date.

Legal Standard

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) In reviewing a motion for summary judgment, courts apply a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.)

In moving for summary judgment, a defendant or cross-defendant has the "burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." (Code Civ. Proc., § 437c, subd. (p)(2).) A

defendant or cross-defendant must support the motion "with evidence including 'affidavits, declarations, admissions, answers to interrogatories, depositions, and matters of... judicial notice.'" (Aguilar, supra, 25 Cal.4th at p. 855, citing Code Civ. Proc., § 437c, subd. (b).)

Once a moving party has satisfied the initial burden of proof, "the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc., § 437c, subd. (p)(2).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

Summary judgment must be granted "if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119, see also Code Civ. Proc., § 437c, subd. (c).) Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (Yanowitz v. L'Oreal USA, Inc. (2005) 36 Cal.4th 1028, 1127.)

Evidentiary Objections

Plaintiff makes six evidentiary objections to the declaration of Christopher J. Waldon. The Court rules as follows:

SUSTAINED: 1

OVERRULED:

2-6

Defendants make sixteen evidentiary objections to the declaration of Colby Meagle. The Court rules as follows:

SUSTAINED: 2, 3, 4 (except as to attachment of Exh. E)

OVERRULED: 1,

5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16

Defendants make six evidentiary objections to the declaration of Russell Higgins. The Court rules as follows:

SUSTAINED:

OVERRULED: 1,

2, 3, 4, 5, 6

Discussion

Defendants move for summary adjudication of the following issues: (1) the second cause of action for fraudulent inducement-concealment because the elements are not supported by evidence; (2) the second cause of action for fraudulent inducement-concealment because it is barred by independent tort principles; (3) the third cause of action for negligent repair because it is barred by the economic loss rule; and (4) the third cause of action because Plaintiff cannot present any triable issues of material fact.

Issue No.

1: Elements of Fraudulent-Concealment Cause of Action

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.”

(Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC
(2008) 162 Cal.App.4th 858, 868.)

Concealment

Ford argues that Plaintiff cannot point to any evidence of concealment or deceptive conduct by Ford. Ford points to the warranty which

provides that the Subject Vehicle may have design or manufacturing defects necessitating repairs. (UMF, ¶ 10.) “The very existence of a warranty presupposes that some defects may occur.” (Santana v. FCA US, LLC (2020) 56 Cal.App.5th 334, 345-46.)

Ford further refers to Plaintiff’s deposition testimony in which Plaintiff could not identify who at Ford concealed information from her and Plaintiff stated she did not have any contact with anyone at Ford prior to or while owning the Subject Vehicle. (UMF, ¶ 4.)

Ford also argues that Plaintiff cannot show that there is a transmission defect in the 10R80 transmission which Ford should have disclosed. Therefore, Ford argues that Plaintiff cannot establish materiality.

Ford further shows that the information about the alleged defect here involving the 10R80 automatic 10-speed transmission, was publicly announced and disclosed before Plaintiff purchased the Subject Vehicle. Defendants show that Plaintiff relied on multiple TSBs in the FAC. (FAC, ¶¶ 28-35.) The FAC acknowledges that these TSBs are available to the public. (FAC, ¶¶ 117-118.) Ford refers to multiple TSBs, which were publicly available at all relevant times, which disclose the alleged defects. (UMF, ¶¶ 18-23.) Therefore, Ford argues that Plaintiff cannot show that the alleged defects were concealed.

Here, the Court does not find that Ford meets its burden as to the first issue regarding concealment. Ford does not show that the existence of TSBs or the fact that they are publicly available negates the concealment element.

Moreover, Ford does not show with evidence that Plaintiff cannot establish materiality or the lack of a transmission defect. Ford relies exclusively on the FAC and one excerpt of Plaintiff’s deposition testimony to argue that Plaintiff can only show that the Subject Vehicle could experience certain defects, not that it did. “In moving for summary judgment, ‘[t]he defendant may ... present evidence that the plaintiff does not possess, and cannot reasonably obtain, needed evidence—as through admissions by the plaintiff following extensive discovery to the effect that he has discovered nothing.’” (Andrews v. Foster Wheeler LLC (2006) 138 Cal.App.4th 96, 106-07, citing Aguilar, supra, 25 Cal.4th at p. 855.) Ford’s arguments fall short of showing that Plaintiff cannot reasonably obtain evidence, such as through admissions or factually devoid discovery responses.

Duty
to Disclose

Ford additionally argues that Plaintiff cannot supply any evidence showing that Ford had a duty to disclose.

"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.) "Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer...or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.' [Citation.] 'Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.'" (Id., at p. 40-41, citing in part, Bigler-Engler v. Breg, Inc. [Bigler-Engler] (2017) 7 Cal.App.5th 276, 312.)

It is undisputed that Plaintiff purchased the Subject Vehicle from Central Ford. (UMF, ¶ 1.) Ford puts forth Plaintiff's deposition testimony in which Plaintiff testified that she understood that Central Ford is an authorized Ford dealership, that Ford is a manufacturer, and that they are separate entities. (COE, Exh. 2, Plaintiff's Depo., 42:5-13.) Therefore, Ford establishes that Plaintiff cannot establish a direct transactional relationship between her and Ford.

Ford therefore meets its burden as to Issue No. 1 in showing that Plaintiff cannot establish the duty to disclose element of the second cause of action.

Plaintiff's Opposition

In opposition, Plaintiff argues that a duty to disclose arose because Central Ford was acting as Ford's agent. Plaintiff submits an agreement Ford maintains with its dealers which is non-negotiable. (Supp.-AMF, ¶ 28.) Plaintiff therefore raises a triable issue of material fact as to whether there was an agency relationship between Central Ford and Ford. Plaintiff also argues that a duty to disclose arose out of Ford's exclusive knowledge of the defects. Plaintiff admits certain confidential documents to support its argument that Ford possessed exclusive knowledge of the defect to support a second basis for a duty to disclose.

Therefore, the Court finds that Plaintiff raises a triable issue of material fact as to whether a duty to disclose between Plaintiff and Ford arose out of an agency relationship with Central Ford or through Ford's exclusive knowledge.

Accordingly, Ford's motion for summary adjudication is to Issue No. 1 is DENIED.

Issue No.

2: Second Cause of Action – Economic Loss Rule

Ford argues that Plaintiff's second cause of action is barred by the economic loss rule under Rattagan.

[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.

(Rattagan, *supra*, 17 Cal.5th at p. 21, citations omitted; *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 [“there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.”].) “Warranty rules regulate the quality of the product bargained for

and insulate a manufacturer from liability...that may arise when its product fails to meet a customer's needs but causes no physical injuries." (Rattagan, supra, 17 Cal.5th at p. 22.)

Both parties argue whether Rattagan bars Plaintiff's claim. In Rattagan, the

Supreme Court of California held, "a plaintiff may assert a cause of action for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the claim can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract." (Rattagan, supra, Cal.5th 1, at p. 54, emphasis added.) However, the Rattagan court expressly did not consider the application of the economic loss doctrine to fraudulent inducement by concealment. (Id., at p. 41 fn.

12) "[Plaintiff's] tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties' chosen rights and obligations. This court has granted review in two other cases — Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, rev. granted Feb. 1, 2023, S277568 and Kia America v. Superior Court (Feb. 3, 2022, D079858) [nonpub.opn.], rev. granted Apr. 20, 2022, S273170 — both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.")

Because the California Supreme Court did not address this issue in Rattagan and subsequently dismissed review, Dhital remains binding authority. (See Cal Rules of Court, rule 8.528 (3) "An order dismissing review does not affect the publication status of the Court of Appeal opinion unless the Supreme Court orders otherwise."); Dhital v. Nissan North America, Inc. (2023) 304 Cal.Rptr.3d 82, 83 "The request for an order directing depublication of the opinion is denied.")

Here, the Court finds that Ford does not meet its initial burden as to Issue No. 2. "[U]nder California law, the economic loss rule does not bar [a plaintiff's] claim...for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court." (Dhital, supra, 84 Cal.App.5th at p. 843.) Ford's argument relies on interpreting the FAC as

alleging a fraudulent concealment claim post-sale rather than a fraudulent inducement claim. This is an improper limitation of the allegations in the FAC. The FAC expressly includes fraudulent inducement: “FORD fraudulently induced Plaintiff(s) to purchase the Subject Vehicle they would not have entered into but for FORD’s concealment of the defective nature of the 10R80 transmission.” (FAC, ¶ 122.)

Accordingly, Ford’s motion for summary adjudication is DENIED as to the second issue.

Issue No.

3: Third Cause of Action – Economic Loss Rule

Defendants argue that the third cause of action is barred by the economic loss rule. Defendants point to the undisputed fact that Plaintiff does not claim damages for personal injury or secondary property damage. (UMF, ¶ 33.) “Not all tort claims for monetary losses between contractual parties are barred by the economic loss rule. But such claims are barred when they arise from — or are not independent of — the parties’ underlying contracts.” (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923.) As such, the Court finds that Defendants meet their burden.

Plaintiff’s

Opposition

In opposition, Plaintiff argues that Norm Reeves owed an independent duty of care to perform repairs. This argument is not supported by evidence as Plaintiff does not identify a duty owed by Norm Reeves independent from the warranty. Defendants show that Plaintiff claims to dispute the fact that the repair services were performed pursuant to contract, but Plaintiff’s facts are related to the status of the repairs rather than whether they were independent of contract. Defendants show that Plaintiff does not dispute that the repairs were done at no charge to Plaintiff. (UMF, ¶ 28.)

Plaintiff additionally argues that Plaintiff’s exposure to safety risks suffice as losses under the economic loss rule. Plaintiff cites to Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 991 for this argument. However, Robinson Helicopter is “focus[ed] solely on the fraud and misrepresentation claim” and does not involve negligent repair claims. (Id., at p. 990.) “It is inaccurate to conclude Robinson announced

an exception to the economic loss rule. The more accurate understanding is that the case clarified the extent of the rule by demonstrating why the doctrine simply did not apply to the case at issue." (Rattagan, supra, 17 Cal.5th at p. 34.)

Therefore, Plaintiff does not raise triable issues of material fact as to whether the third cause of action is barred by the economic loss rule. Defendants' motion for summary adjudication is GRANTED as to the third issue.

Issue No.

4: Elements of Negligent Repair Cause of Action

The elements for a cause of action for negligence are "(1) a legal duty to use due care; (2) a breach of that duty; (3) a reasonably close causal connection between that breach and the resulting injury; and (4) actual loss or damage." (Ahern v. Dillenback (1991) 1 Cal.App.4th 36, 42.)

Defendants show that Plaintiff does not establish any evidence to support the allegations that Norm Reeves failed to store, prepare, and repair the Subject Vehicle with industry standards. Defendants show that when asked in written discovery to identify what negligent repair occurred during an October 17, 2023 visit, Plaintiff solely pointed to the October 17, 2023 repair order without adding any additional facts. (UMF, ¶ 37.)

"Circumstantial evidence supporting a defendant's summary judgment motion 'can consist of "factually devoid" discovery responses from which an absence of evidence can be inferred,' but 'the burden should not shift without stringent review of the direct, circumstantial and inferential evidence.'" (Andrews, supra, 138 Cal.App.4th at p. 101, citation omitted.) "If plaintiffs respond to comprehensive interrogatories seeking all known facts with boilerplate answers that restate their allegations, or simply provide laundry lists of people and/or documents, the burden of production will almost certainly be shifted to them once defendants move for summary judgment and properly present plaintiffs' factually devoid discovery responses." (Id., at p. 107.) Defendants show that Plaintiff responded to written discovery with boilerplate answers that are either nonresponsive or restate the allegations. (UMF, ¶ 37.)

Based on the foregoing, Defendants meet their initial burden

in showing that Plaintiff does not possess and cannot reasonably possess evidence to establish the negligent repair claim

Plaintiff's
Opposition

In opposition, Plaintiff does not produce any admissible evidence. Plaintiff therefore does not meet her burden as to Issue No. 4.

Accordingly, Defendants' motion for summary adjudication is GRANTED as to Issue No. 4.